VALUATUM

24.7.2026

UPM

UPM.HE • NASDAQ Helsinki • Paper, Lumber & Forest Products • Finland

COMPANY PROFILE

UPM is a Finland-based forest industry group that converts wood and other renewable raw materials into pulp, paper, energy, and bio-based materials. Its business areas include Fibres (pulp and timber), Energy (hydropower and nuclear generation), Adhesive Materials, Specialty Papers, Communication Papers, and Plywood. UPM is currently reshaping its portfolio through a signed joint venture combining Communication Papers with Sappi's European graphic paper business, and a proposed demerger separating Plywood into an independently listed company, WISA Group.

RECOMMENDATION	CURRENT PRICE	TARGET PRICE
HOLD	**22.23 EUR**	**21.10 EUR**
12-month horizon	as of report date	12-month fundamental

IMPLIED UPSIDE	MARKET CAP	ENTERPRISE VALUE
–5.1%	**EUR 11.7 bn**	**EUR 14.8 bn**
vs. current price	shares × price	mcap + net debt

P/E 2026E	EV/EBITDA 2026E	FCF YIELD 2026E	DIVIDEND YIELD 2026E	NET DEBT / EBITDA 2026E
17.2×	8.2×	10.1%	4.7%	1.5×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION	TARGET PRICE	CURRENT PRICE	IMPLIED UPSIDE
HOLD 12-month horizon	**21.10 EUR** 12-month fundamental	**22.23 EUR** as of report date	**−5.1%** vs. current price

MARKET CAP	ENTERPRISE VALUE	P/E · EV/EBITDA 2026E	FCF · DIV YIELD 2026E
EUR 11.7 bn shares × price	**EUR 14.8 bn** mcap + net debt	**17.2× · 8.2×** history + peers, see p. 18–19	**10.1% · 4.7%**

01 **Pulp Spread Recovery Required**

Pulp spreads sit near EUR 110/tonne against the EUR 122/tonne needed to justify Fibres' EUR 5,340 million EV allocation, so the segment's EBITDA must rise from EUR 640 million to EUR 710 million as Uruguay volumes ramp, supporting the 7.5x multiple applied to that segment.

€ 110/tonne

02 **EBITDA Growth Driven by Capacity Ramp**

Group EBITDA is forecast to climb from EUR 1,351 million in 2025 to EUR 1,601 million by 2027, driven by Paso de los Toros reaching full 2.1 million tonne capacity, lifting EBIT margin from 7.8% to 10.2% and underpinning the EUR 19.9 EV/EBITDA-based price component.

€ 1,601m EBITDA

03 **Premium Multiple Caps Upside**

UPM trades at 9.3x 2027e EV/EBITDA versus a peer median of 7.5x and its own 12.6x historical average; the selected 8.5x fair multiple reflects superior margins but caps upside, keeping the blended EUR 21.10 target modestly below the EUR 22.23 spot price.

9.3x EV/EBITDA

THESIS BREAKER

Permanent structural impairment of Finnish wood costs due to loss of Russian timber, or EU regulatory block of the Sappi JV.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Monthly closing prices over 24 months with the 12-month target price, alongside key market data.

Share price — last 24 months

EUR per share, with 12-month target line

CURRENT PRICE **22.23 EUR** 24 July 2026	TARGET PRICE **21.10 EUR** 12-month	IMPLIED UPSIDE **–5.1%** vs. current	52-WEEK HIGH **27.94 EUR** past 12m
52-WEEK LOW **21.72 EUR** past 12m	1-YEAR CHANGE **–5.0%** price only	3-YEAR CHANGE **–21.5%** price only	REPORT DATE **24 July 2026**

VALUE BREAKDOWN · PART 1

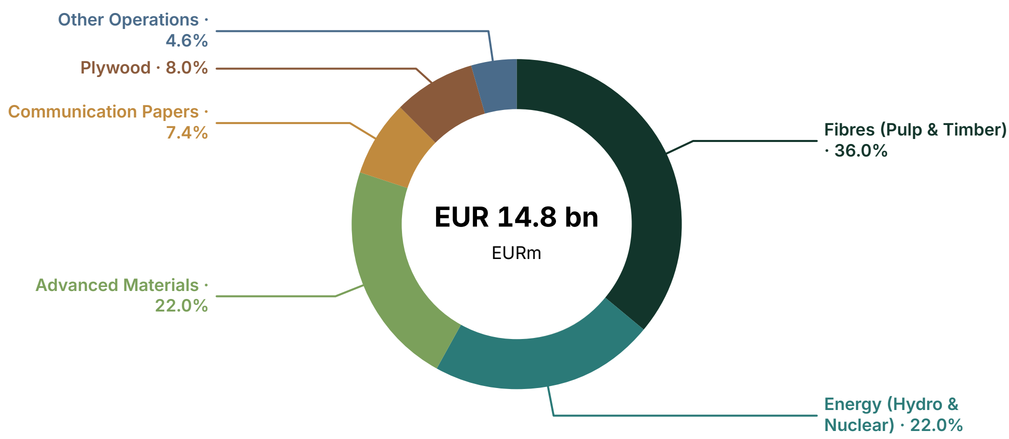
Enterprise-value allocation by segment

04

Each segment's contribution to group revenue, comparable EBIT and enterprise value.

Enterprise value by segment

EUR millions · segment revenue/EBIT weights: FY2025A



SEGMENT ECONOMICS

Revenue and Comp. EBIT: FY2025A (source: FY2025 financial statements release commentary and the Sappi transaction disclosure). EV: current allocation.

	REVENUE	SHARE OF REVENUE / DIV.	COMP. EBIT	SHARE OF EBIT / DIV.	EV	EV %	ARCHETYPE
Fibres (Pulp & Timber)	3,200	33.1%	330	38.8%	5,340	36.0%	Commodity
Energy (Hydro & Nuclear)	450	4.7%	180	21.2%	3,265	22.0%	Regulated
Advanced Materials	2,300	23.8%	170	20.0%	3,265	22.0%	Scaling
Communication Papers	2,490	25.8%	130	15.3%	1,100	7.4%	Restructuring
Plywood	750	7.8%	90	10.6%	1,187	8.0%	Restructuring
Other Operations	466	4.8%	-49	-5.8%	687	4.6%	Emerging option
Total	**9,656**	**100.0%**	**851**	**100.0%**	**14,844**	**100.0%**	—

VALUE BREAKDOWN · PART 2

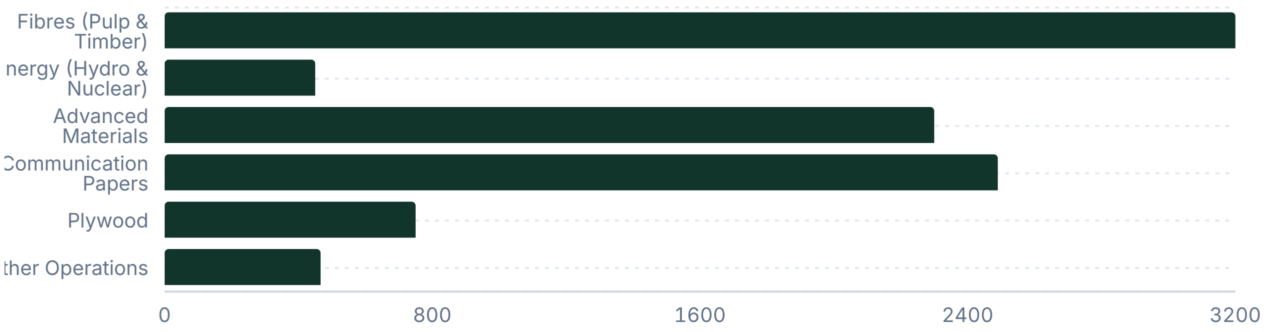
05

Net sales and EBIT by segment

Where the group's revenue and comparable EBIT originate, by segment.

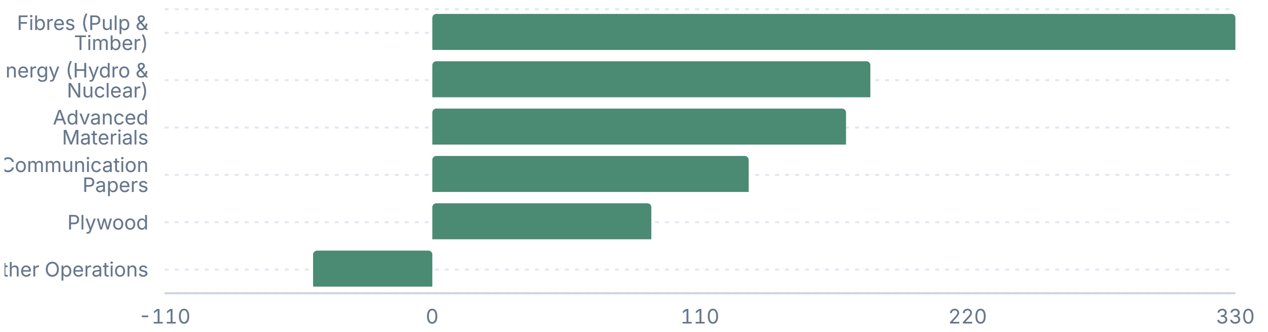
Net sales by segment

EUR millions, FY2025A



Comparable EBIT by segment

EUR millions, FY2025A



INTERPRETATION

UPM's EUR 14.8 billion enterprise value reflects a highly diversified set of businesses, driven largely by a heavy EUR 5.3 billion allocation to cyclical Fibres and a premium EUR 3.3 billion infrastructure multiple for Energy. Notably, the legacy Communication Papers division contributes ~26% of group sales but supports only 7.4% of enterprise value, anchored by a definitive JV agreement.

RECOMMENDATION

Why we land on the call we do

06

The rationale for the rating, the decision summary, and the three principal supporting arguments.

UPM is currently trading at EUR 22.23, close to its target price of EUR 21.10, supporting a HOLD rating with roughly 5% downside implied over the next 12 months.

The market is pricing UPM at 9.3x 2027e EV/EBITDA versus a peer median of 7.5x and UPM's own normalized historical average of 12.6x — a discount that undervalues the post-restructuring earnings quality once Communication Papers moves to equity accounting and Plywood demerges into WISA Group (prospectus due Q3/Q4 2026).

The blended target price of EUR 21.10 (weighted: EV/EBITDA at 8.5x on EUR 1,601 million EBITDA = EUR 19.9; P/E at 14.5x on EUR 1.40 EPS = EUR 20.3; ROE/P/BV scatter = EUR 25.3) sits modestly below the current EUR 22.23 quote, implying the stock is roughly fairly valued to slightly rich at spot.

Upside is largely contingent on pulp spreads reaching EUR 122/tonne, while downside risk remains palpable if Finnish wood-cost inflation permanently impairs the 2.4 million tonne Nordic mill base or the Sappi JV faces EU Phase II review.

HOLD

TARGET PRICE
21.10 EUR

CURRENT PRICE
22.23 EUR

IMPLIED UPSIDE
−5.1%

12-MONTH VIEW
We view UPM as fairly valued at spot levels, with near-term cyclical pulp weakness and execution of portfolio restructuring (Sappi JV, WISA Group demerger) keeping upside capped.

MAIN DRIVER
Pulp spread recovery to €122/tonne mid-cycle.

MAIN RISK
Structural wood-cost inflation at Finnish pulp mills.

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CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the segment deep dives that follow.

The valuation of UPM-Kymmene Corporation rests on a diverse portfolio of heavily capital-intensive assets, encompassing both highly cyclical commodity businesses and deeply defensive infrastructure. To test the economic credibility of the group's EUR 14.8 billion enterprise value, we allocate value across the company's analytical segments using a mix of transaction-implied metrics and indirect multiple allocations.

UPM currently generates revenue primarily through its Communication Papers, Fibres, and Advanced Materials divisions, which together represent over 80% of group net sales. However, revenue contribution diverges sharply from enterprise value allocation. Communication Papers generates nearly 26% of group sales but supports only 7.4% of enterprise value, constrained by structural demand decline and confirmed by a hard transaction anchor. Conversely, the Energy segment contributes under 5% of net sales but commands 22% of enterprise value, reflecting the premium infrastructure multiples awarded to its high-margin, low-volatility hydro and nuclear generation assets.

Group enterprise value (EUR 14.8 billion) bridges to an implied equity market capitalization of approximately EUR 11.7 billion after deducting FY2025 net debt of EUR 3,079 million and approximately EUR 43 million in other minor senior claims. The allocation is a mix of high-confidence transaction evidence (the Sappi JV for Communication Papers) and model-based fallback assumptions for the remaining pools. It is crucial to distinguish between UPM's reported FY2025 EBIT of EUR 604 million, which is materially distorted by one-off restructuring charges and mill closures, and the group's disclosed comparable EBIT of EUR 921 million. Valuation frameworks must rely on the underlying recurring operating economics rather than the heavily impaired reported figures.

> **ANALYTICAL ANCHOR**
>
> Communication Papers generates nearly 26% of sales but under 8% of enterprise value, highlighting a stark divergence between historical volume and forward value creation.

CORE ANALYSIS · SEGMENT DEEP DIVES

08

Fibres (Pulp & Timber)

Segment deep dive — Commodity.

The market values Fibres as a massive, cycle-sensitive asset base that heavily dictates UPM’s overall free cash flow profile. The enterprise value allocation of EUR 5.34 billion is primarily anchored to the segment's 5.8 million tonnes of global pulp capacity, most notably the recent USD 3.47 billion investment in the Paso de los Toros eucalyptus pulp mill in Uruguay. Investors price this division on a normalized mid-cycle basis, looking through the currently depressed 2025 pulp margins. The valuation thesis assumes that UPM's Southern Hemisphere plantation-based production operates in the lowest quartile of the global cost curve, providing a robust structural advantage that protects cash flow generation even during cyclical pricing troughs.

The global chemical pulp market is highly cyclical, driven by macroeconomic demand for tissue, specialty papers, packaging, and graphic papers. Total market size expands steadily alongside population growth and rising living standards in emerging markets, particularly for short-fibre bleached hardwood kraft pulp (BHKP) derived from eucalyptus. UPM commands a balanced asset base with 3.4 million tonnes of eucalyptus capacity in Uruguay and 2.4 million tonnes of softwood and birch capacity in Finland. Demand elasticity is generally low for tissue end-uses but higher for graphic papers. The structural market dynamic heavily favours low-cost South American eucalyptus producers over older, higher-cost Northern Hemisphere mills facing structural wood-cost inflation, a dynamic UPM spans with its two-hemisphere footprint.

UPM’s Uruguayan operations (Paso de los Toros and Fray Bentos) possess a clear cost advantage, benefiting from fast-growing eucalyptus plantations and high energy self-sufficiency. However, its Finnish operations (Kaukas, Kymi, Pietarsaari) face structural wood-cost pressures following the cessation of Russian timber imports into the Nordics. The market structure dictates that whoever controls the lowest cash-cost supply captures the widest spreads during upcycles and avoids cash burn during downcycles. UPM’s moat is therefore bifurcated: exceptionally strong in Uruguay, but increasingly challenged by input inflation in Finland.

The unit economics of the Fibres segment are straightforward: pulp volume × (realized price − cash cost). With 5.8 million tonnes of capacity, every EUR 10 per tonne movement in the pulp spread translates to EUR 58 million in annualized EBITDA. Currently, market prices for NBSK and BHKP have compressed, squeezing margins. A normalized mid-cycle spread of approximately EUR 120–130 per tonne is required to generate the EUR 700–750 million in EBITDA necessary to justify the segment's allocated enterprise value at a standard 7.0x–8.0x commodity multiple.

FIBRES (PULP & TIMBER) FACT SHEET

COMMODITY

FY2025A REVENUE	**EUR 3,200m**
FY2025A COMP. EBIT	**EUR 330m**
PULP CAPACITY	**5.8m tonnes**
IMPLIED CURRENT SPREAD	**EUR ~110/tonne**
REQUIRED MID-CYCLE SPREAD	**EUR 122/tonne**
CURRENT EBITDA (EST.)	**EUR ~640m**
VALUATION BASIS	**EBITDA multiple (~7.5x)**

CORE ANALYSIS · SEGMENT DEEP DIVES

08

Energy (Hydro & Nuclear)

Segment deep dive — Regulated.

UPM Energy is valued as a highly defensive, cash-generative infrastructure asset providing baseload and balancing power to the Nordic grid. The market assigns a premium enterprise value of EUR 3.27 billion to this segment because of its ultra-low marginal cost structure and zero-carbon emission profile, which isolates it from fossil-fuel volatility and carbon taxation. Investors essentially price this segment using infrastructure or utility multiples (12x–15x EV/EBITDA), recognizing that its earnings quality is vastly superior to the cyclical paper and pulp businesses. It serves as the primary valuation floor and cash-flow anchor for the group.

UPM Energy operates approximately 1,900 MW of generation capacity, comprising roughly 730 MW of flexible hydropower and roughly 1,090 MW of nuclear power (primarily through stakes in TVO's Olkiluoto 1, 2, and 3 reactors). The Nordic electricity market (Nord Pool) dictates pricing. Demand for zero-carbon electricity is structurally expanding due to the electrification of industrial processes, data centers, and transportation. Hydropower provides crucial balancing capability in a grid increasingly reliant on intermittent wind power, while nuclear provides steady baseload. UPM's assets are perfectly positioned to capture value from intraday price volatility (via hydro flexibility) while enjoying the long-term price support of industrial electrification.

The competitive moat for hydro and nuclear assets in the Nordics is virtually impenetrable. New hydro capacity is environmentally and regulatorily constrained, and new nuclear capacity requires decades of lead time and massive capital (as evidenced by the Olkiluoto 3 delays). UPM is the second-largest electricity producer in Finland. Its cost structure is largely fixed, meaning any increase in wholesale electricity prices drops almost entirely to the EBITDA line. The moat relies on the physical impossibility of replicating this generation fleet at historical capital costs.

The core unit economics are driven by generation volume (TWh) × realized power price (EUR/MWh) − fixed operating and maintenance costs. Operating 1,900 MW at blended capacity factors yields roughly 11 TWh of generation annually. If the realized power price averages EUR 40/MWh, gross generation revenue is approximately EUR 440 million. With highly efficient operations, this easily supports an EBITDA of EUR 220–250 million.

ENERGY (HYDRO & NUCLEAR) FACT SHEET

REGULATED

FY2025A REVENUE	EUR 450m
FY2025A COMP. EBIT	EUR 180m
GENERATION CAPACITY	1,900 MW
ANNUAL GENERATION VOLUME	~11 TWh
ESTIMATED EBITDA	EUR ~220m
IMPLIED EV/EBITDA MULTIPLE	13.0x - 14.0x
REQUIRED REALIZED PRICE	EUR 40-45/MWh

CORE ANALYSIS · SEGMENT DEEP DIVES

08

Advanced Materials

Segment deep dive — Scaling.

Advanced Materials (incorporating UPM Raflatac / Adhesive Materials and Specialty Papers) is valued as the group's primary organic growth engine. Unlike Fibres, which is purely cyclical, or Energy, which is capacity-constrained, Advanced Materials benefits from secular trends in e-commerce logistics, sustainable packaging, and the substitution of plastics with fiber-based materials. The market assigns a premium multiple (comparable to peers like Avery Dennison) reflecting higher return on capital, lower capital intensity, and structural volume growth above GDP.

The business operates in a consolidated, high-value-add segment of the paper and packaging industry. Raflatac is a global leader in self-adhesive label materials, competing directly with Avery Dennison. Specialty Papers produces release liners and packaging papers. Demand is somewhat linked to consumer spending and trade volumes, but is highly resilient due to the consumable nature of labels (food, beverage, logistics). The expanded market size is driven by regulatory pressures pushing FMCG brands away from fossil-based plastics toward renewable fiber-based packaging solutions.

Economics are driven by volume (square meters of label stock or tonnes of specialty paper) and contribution margin over raw material costs (pulp, chemicals). The division acts as a partial internal hedge, consuming pulp produced by UPM Fibres. To justify the EUR 3.26 billion EV allocation, the business must sustain EBITDA margins in the 12–14% range and demonstrate consistent top-line growth. While current margins have faced pressure from global trade tariffs and consumer hesitancy, the low capital intensity ensures strong free cash flow conversion. The valuation is plausible but demands that organic volume growth re-accelerates beyond recent macroeconomic headwinds.

ADVANCED MATERIALS FACT SHEET

SCALING

FY2025A REVENUE
EUR 2,300m

FY2025A COMP. EBIT
EUR 170m

ESTIMATED EBITDA
EUR ~280m

IMPLIED EV/EBITDA MULTIPLE
~11.5x

TARGET EBITDA MARGIN
12-14%

MARKET DRIVERS
E-commerce logistics, plastic substitution

CORE ANALYSIS · SEGMENT DEEP DIVES

08

Communication Papers

Segment deep dive — Restructuring.

The market values Communication Papers strictly on a harvest and restructuring basis. The EUR 1.1 billion enterprise value is not a model-based assumption; it is a hard transaction anchor derived from the May 2026 definitive joint-venture agreement with Sappi Limited. The transaction values the UPM contributed business at a 4.6x multiple of its EUR 241 million EBITDA (LTM to September 2025). The low multiple reflects the secular decline of graphic paper demand in Europe.

Under the definitive agreement, UPM will receive a EUR 475 million cash payment at closing, a EUR 88 million preferential shareholder loan, a EUR 10 million additional loan, and 50% equity in the newly formed JV (book value EUR 167 million). Crucially, UPM transfers EUR 411 million in net pension and other liabilities to the JV.

The valuation question is whether the market fully prices the expected EUR ~100 million in annual synergies the JV aims to achieve. While the stand-alone UPM contribution is anchored at EUR 1.1 billion EV, the successful realization of synergies and capacity rationalization could create additional equity upside for UPM's retained 50% stake over a 3–5 year horizon. The primary risk is regulatory merger control clearance in the EU.

COMMUNICATION PAPERS FACT SHEET

RESTRUCTURING

FY2025A REVENUE	**EUR 2,490m**
FY2025A COMP. EBIT	**EUR 130m**
TRANSACTION FORM	**Sappi JV definitive agreement**
CASH CONSIDERATION	**EUR 475 million**
SHAREHOLDER LOAN 1 (PREF)	**EUR 88 million**
SHAREHOLDER LOAN 2	**EUR 10 million**
RETAINED EQUITY (BOOK VALUE)	**EUR 167 million**
PENSION & LIABILITIES TRANSFERRED	**EUR 411 million**
IMPLIED MULTIPLE	**4.6x EBITDA**
NEXT MILESTONE	**EU merger control clearance**

CORE ANALYSIS · SEGMENT DEEP DIVES

08

Plywood

Segment deep dive — Restructuring.

Plywood is a stable, solid performer that the Board of Directors approved for demerger into an independent listed company, WISA Group, in April 2026. The market currently values this asset as a pending separation. The EUR 1.19 billion EV is an analyst estimate assuming a ~10x EBITDA multiple, reflecting the business's strong market position in Europe and high-quality industrial end-markets (LNG shipbuilding, vehicle flooring).

Because the transaction takes the form of a demerger rather than a cash sale, the critical missing piece of evidence is the debt and liability allocation. No debt allocation to WISA Group has been disclosed, and it must not be inferred from gross asset figures.

Therefore, while the enterprise value can be estimated, the residual equity value impact on UPM cannot be precisely determined until the WISA Group listing prospectus is published (targeted October 2026). The valuation remains low-confidence pending this disclosure.

PLYWOOD FACT SHEET

RESTRUCTURING

FY2025A REVENUE
EUR 750m

FY2025A COMP. EBIT
EUR 90m

TRANSACTION FORM
WISA Group Demerger

ESTIMATED EBITDA
EUR ~120m

IMPLIED MULTIPLE FALLBACK
~10x EBITDA

DEBT ALLOCATION
Undisclosed

NEXT MILESTONE
Prospectus / EGM (Expected Sept/Oct 2026)

CORE ANALYSIS · SEGMENT DEEP DIVES

08

Smaller segments — grouped deep dives

Segments that don't warrant a full deep dive — a short fact strip each.

Other Operations

Emerging option — FY2025A revenue: EUR 466m · FY2025A comp. EBIT: EUR -49m · Estimated comparable EBIT: EUR ~-49m · Valuation basis: Option value estimate · Key focus areas: Next Gen Renewables, Biofuels, Biochemicals

CORE ANALYSIS · CROSS-SEGMENT BRIDGE

09 Putting the segments back together

How the segment valuations aggregate to the group, and the re-rating the target price requires.

The forward financial bridge is mechanically driven by the Fibres segment. UPM's reported 2025 EBIT was materially distorted by one-off impairments and restructuring charges related to the closure of graphic paper mills. Stripping these out, comparable EBIT provides a higher base, but the leap to over EUR 1.0 billion in 2027 EBIT requires the Paso de los Toros pulp mill to operate at full capacity and global pulp prices to normalize from their cyclical lows.

The bridge is supported by current businesses (Energy and Advanced Materials providing a stable baseline of EUR ~350-400 million EBIT) but relies on future optionality in the form of cycle recovery (Fibres). Furthermore, the bridge will face structural accounting changes in late 2026 and 2027: the Plywood business will be demerged (removing its sales and EBIT from consolidation), and Communication Papers will shift to equity-method accounting upon the closing of the Sappi JV.

The forecast is credible, but weakest in its assumption of smooth, uninterrupted pulp pricing recovery in a volatile macroeconomic environment.

BRIDGE MECHANICS

The leap to over EUR 1.0 billion in 2027 EBIT requires the Paso de los Toros pulp mill to operate at full capacity and global pulp prices to normalize from their cyclical lows.

The enterprise value allocation reveals a stark divergence in how different cash flow streams are valued by the market.

Group enterprise value bridges cleanly to equity value: starting from the EUR 14,844 million EV, we deduct the provided FY2025 net debt of EUR 3,079 million and approximately EUR 43 million in other minor senior claims to arrive at the equity market capitalization of EUR 11,722 million.

Under this framework, current recurring earnings strongly support the Energy and Advanced Materials valuations, which trade on premium but defensible multiples given their respective infrastructure and structural-growth characteristics. The Fibres allocation appears mathematically stretched if valued solely on depressed 2025 spot earnings, but is fully defensible when viewed through a mid-cycle asset-value lens, given the sheer scale of the 5.8 million tonne capacity base.

The most fragile assumption is the seamless separation and realization of value for Plywood and Communication Papers. While the Sappi JV provides a hard valuation anchor, the residual equity value transferred to UPM shareholders depends heavily on how debt, pension liabilities, and separation costs are finalized and realized over the next 12 months.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The valuation is highly geared to pulp prices and the successful execution of the portfolio restructuring.

The scenarios differ primarily based on the commodity spread in Fibres and the realized wholesale price in Energy. Fibres causes the largest valuation swing due to its massive operational leverage; a EUR 30 per tonne swing in pulp spreads alters group EBITDA by nearly EUR 175 million annually.

Downside depends on a "cycle trap" where global pulp capacity additions outpace demand, keeping spreads depressed indefinitely, coupled with weak Nordic power prices. In this scenario, the enterprise value would compress as the market refuses to price in a mid-cycle recovery.

Upside requires tight global fiber markets, driving peak cycle margins at the exact moment Paso de los Toros is fully optimized, alongside a successful, high-multiple public listing for the WISA Group demerger. In all scenarios, net debt is held constant at the FY2025 level of EUR 3,079 million for clarity, though in reality, a bull scenario would likely accelerate free cash flow generation and deleveraging, further boosting the implied equity value.

BOTTOM LINE

The central investment debate on UPM revolves around whether the company can successfully bridge the gap between currently depressed cyclical earnings and the normalized mid-cycle potential of its newly expanded asset base. The valuation is heavily dependent on the Fibres segment, which matters most due to its massive 36% share of enterprise value and profound operational leverage. For the EUR 14.8 billion group enterprise value to be fully justified, UPM must navigate the start-up of Paso de los Toros to full capacity while global pulp markets recover to historical mid-cycle spreads. The biggest uncertain assumption in the current valuation framework is the structural competitiveness of the Finnish forestry operations in a post-Russia wood market. While the Uruguayan assets provide a world-class cost advantage, the Nordic assets must not become a permanent margin drag. The valuation is supported by a compelling combination of defensive infrastructure value in Energy, structural growth in Advanced Materials, and cyclical recovery potential in Fibres. Enterprise value bridges logically to equity value, supported by manageable leverage (net debt to EBITDA below 2.5x). Portfolio managers should closely monitor the execution of the dual corporate actions—the WISA Group demerger and the Sappi JV closing—as these will fundamentally alter the group's reporting perimeter, crystallize hidden asset value, and leave behind a more focused, higher-quality core business.

FINANCIAL BRIDGE · PART 1

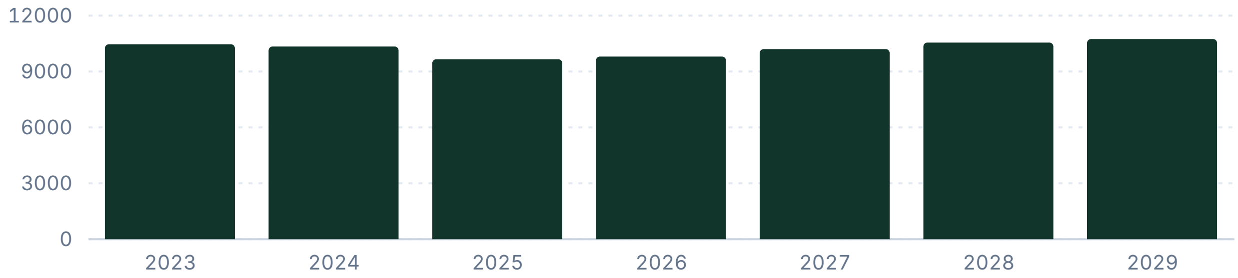
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

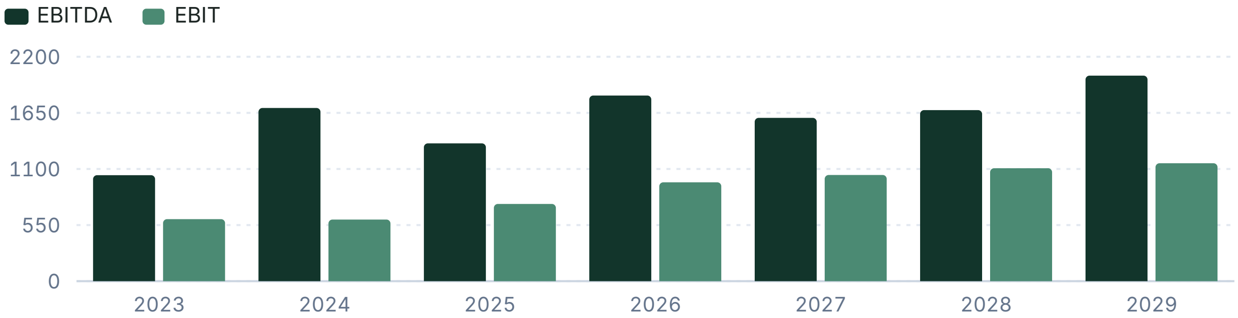
Net sales

EUR millions



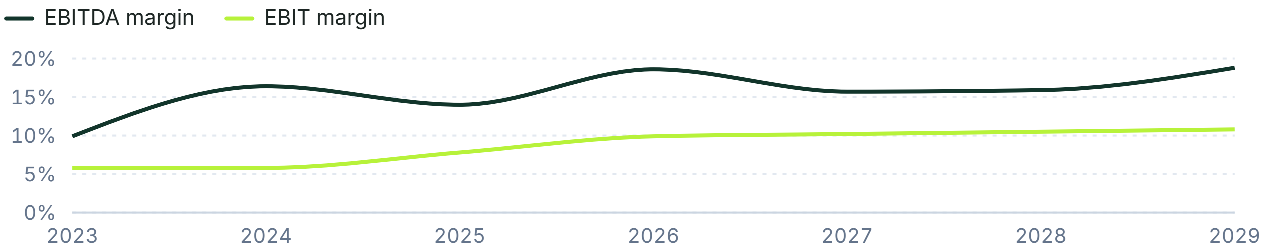
EBITDA & EBIT

EUR millions



EBIT and EBITDA margin

% of net sales

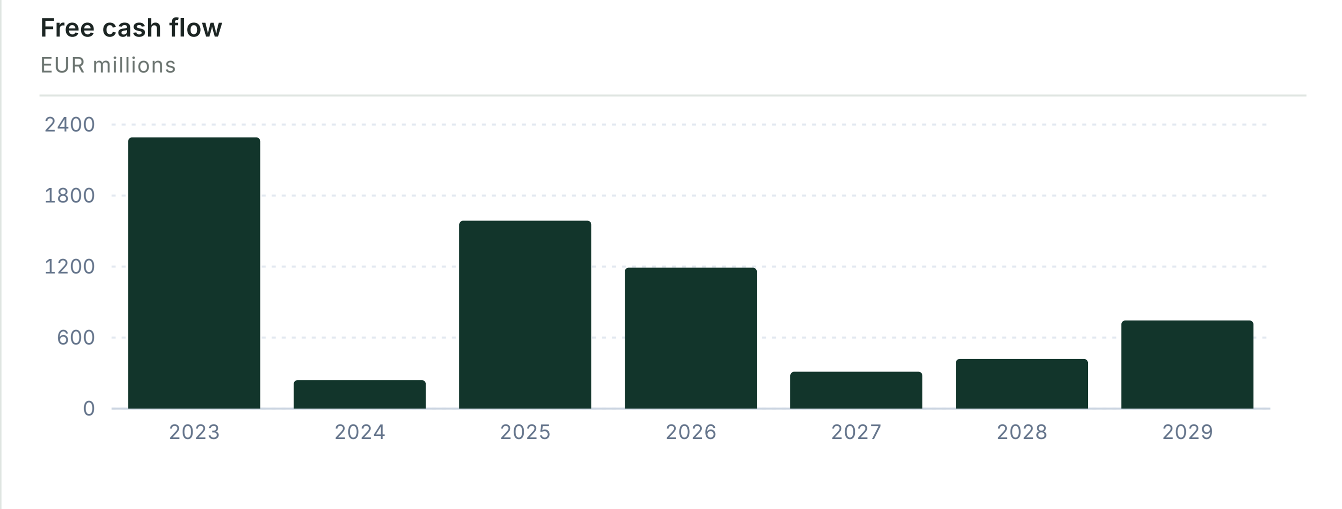


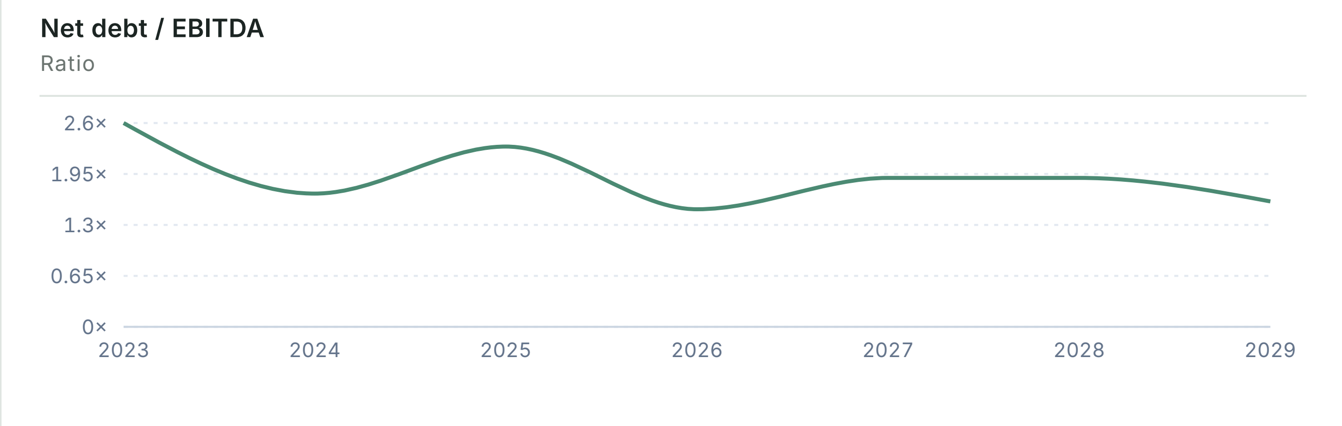
FINANCIAL BRIDGE · PART 2

15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.





KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	9,656	9,800	10,200	10,550	10,740
EBITDA	1,351	1,820	1,601	1,677	2,015
Comparable EBIT	757	969	1,041	1,107	1,156
Net Earnings	**491**	**682**	**740**	**793**	**865**
EPS (EUR)	0.9	1.3	1.4	1.5	1.6
DPS (EUR)	1.5	1	1.1	1.2	1.3

VALUATION

Target price derivation

16

The rationale for the chosen valuation method and multiple, with the company's historical multiples.

Web-sourced: Mondi plc Mkt cap.

As a capital-intensive cyclical business with significant depreciation resulting from recent large-scale investments, UPM is best valued using an EV/EBITDA framework to normalize operating cash flow across the cycle. UPM trades at an implied 9.3x on 2027e EBITDA, compared to a peer median of 7.5x and its own normalized historical average of 12.6x. The selected fair multiple of 8.5x on 2027e EBITDA implies a slight premium to peers, justified by UPM's superior margins and low-cost growth assets, but represents a discount to its historical average as energy and graphic paper earnings normalize from prior peaks. The target price incorporates a 20% weight for the XY scatter signal (ROE vs. P/BV), which appropriately captures the company's mature, asset-heavy positioning. The main valuation risk is a deeper industrial recession in Europe or delays in the Uruguay capacity ramp-up, which would compress earnings and push the fair multiple lower.

HISTORICAL AND FORECAST MULTIPLES

METRIC	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	NORM. AVG	SELECTED FAIR MULTIPLE
P/E	28.46x	13.62x	11.96x	45.99x	30.59x	26.69x	17.23x	15.9x	14.8x	26.22x	14.5x
P/FCF	23.30x	-15.54x	-9.48x	7.93x	58.70x	8.25x	9.86x	37.6x	27.9x	13.16x	
P/BV	1.74x	1.65x	1.49x	1.63x	1.27x	1.31x	1.19x	1.1x	1.1x	1.51x	
P/S	1.89x	1.82x	1.59x	1.74x	1.37x	1.36x	1.20x	1.1x	1.1x	1.63x	
EV/Sales	1.96x	1.98x	1.89x	2.05x	1.70x	1.72x	1.51x	1.5x	1.4x	1.89x	
EV/EBITDA	13.67x	9.61x	9.11x	20.68x	10.36x	12.30x	8.16x	9.3x	8.9x	12.62x	8.5x
Dividend yield	4.3%	3.9%	3.7%	4.4%	5.6%	6.1%	4.7%	5.0%	5.4%	4.7%	

VALUATION

Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	COUNTRY	MKT CAP	P/E 2026E	P/E 2027E	EV/EBITDA 2026E	EV/EBITDA 2027E	P/BV	EBIT MARGIN	ROE	DIV YIELD
Stora Enso Oyj	Finland	7.2 EURbn	17.8x	12.7x	6.7x	7.0x	0.7x	7.4%	3.7%	4.5%
Metsa Board	Finland	872 EURm	-38.4x	13.5x	4.9x	5.7x	0.6x	1.3%	-1.6%	n/a
Mondi plc	UK/South Africa	3.2 GBPbn	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Smurfit Westrock Plc	Ireland/USA	22.0 USDbn	14.5x	12.1x	9.1x	7.9x	1.1x	8.7%	5.7%	n/a
Fortum	Finland	18.6 EURbn	19.2x	20.7x	12.3x	13.4x	2.3x	22.6%	11.5%	4.2%
Suzano S.A.	Brazil	11.0 BRLbn	1.3x	1.2x	4.6x	4.6x	0.3x	27.5%	19.6%	n/a
Avery Dennison Corporation	USA	13.5 USDbn	15.0x	13.8x	9.5x	8.4x	3.3x	13.6%	24.6%	n/a
Peer median			15.0x	13.1x	7.9x	7.5x	0.6x	8.0%	8.6%	4.3%
Peer average			13.5x	12.3x	7.9x	7.8x	0.6x	7.7%	10.1%	4.3%

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE	WEIGHT
EV/EBITDA	2027e EBITDA	1,601 EURm	8.5x	19.9 EUR	48%
P/E	2027e EPS	1.40 EUR	14.5x	20.3 EUR	32%
XY scatter (ROE/P/BV)	Average forecast BVPS	19.1 EUR	1.3x	25.3 EUR	20%
Weighted target price				21.1 EUR	100%

SENSITIVITY — IMPLIED SHARE PRICE

2027E EBITDA (EURM)	MULTIPLE 7.5X	MULTIPLE 8.5X (BASE)	MULTIPLE 9.5X
1,281 EURm (-20%)	12.3	14.7	17.2
1,441 EURm (-10%)	14.6	17.3	20.1
1,601 EURm (Base)	16.9	19.9	22.9
1,761 EURm (+10%)	19.1	22.5	25.8
1,921 EURm (+20%)	21.4	25.1	28.7

VALUATION MAP

ROE vs P/BV — pricing versus profitability

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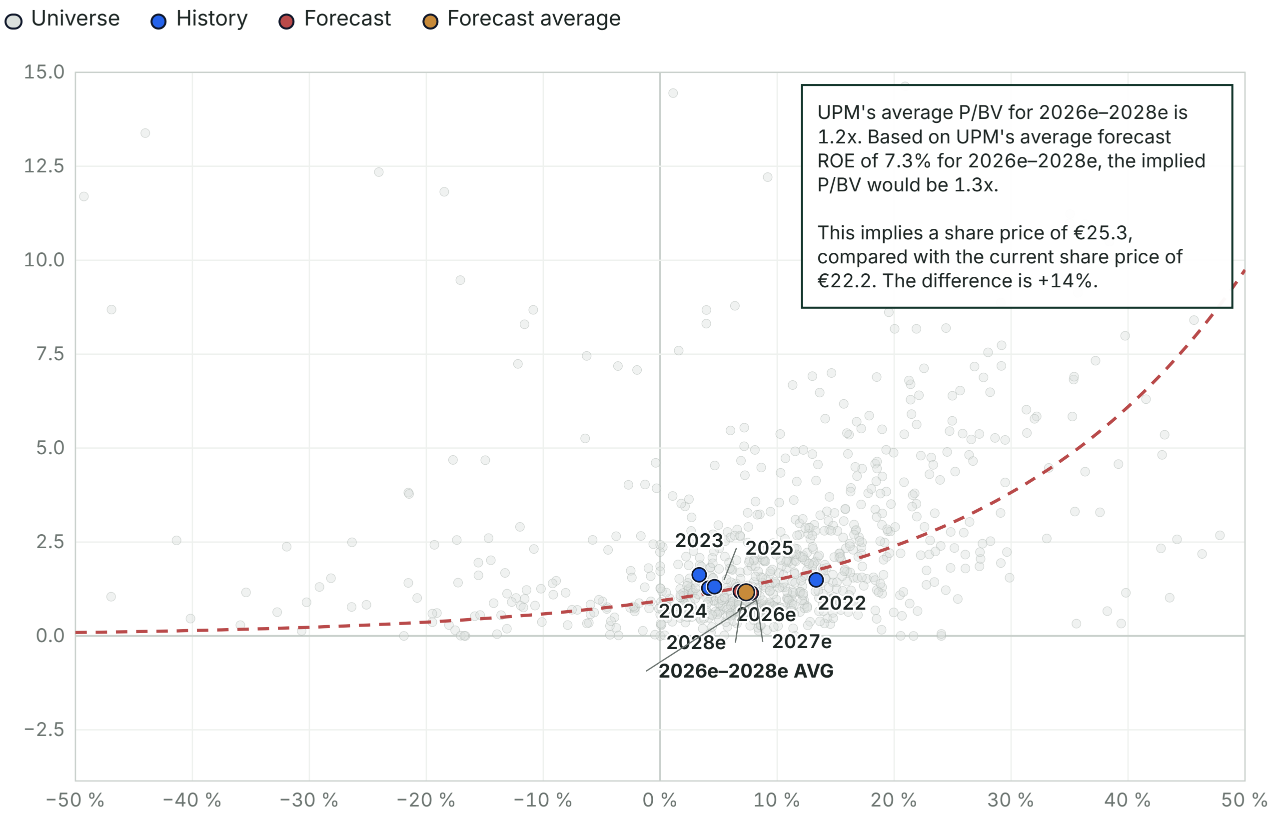
The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.

ROE 2025 vs P/BV 2025

UPM in the Wisdom universe (4 632 companies)



UPM is positioned below the universe curve with a forecast average ROE of 7.3% and a P/BV of 1.2x, suggesting the market typically pays a higher multiple for this level of profitability. The curve-implied P/BV of 1.3x results in an estimated share price of EUR 25.3, indicating that the stock is currently undervalued with a potential 14% upside from its current price of EUR 22.2.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	2026
P/E	17.2×
EV/EBITDA	8.2×
EV/EBIT	15.3×
P/FCF	9.9×
P/BV	1.2×
Dividend Yield	4.7%
Net Debt / EBITDA	1.5×

EBITDA × EV/EBITDA sensitivity

EBITDA EV/EBITDA →	6.5×	7.5×	8.5×	9.5×	10.5×
−20% **EUR 1,456m**	EUR 9,464m EUR 12.10 / sh	EUR 10,920m EUR 14.90 / sh	EUR 12,376m EUR 17.60 / sh	EUR 13,832m EUR 20.40 / sh	EUR 15,288m EUR 23.20 / sh
−10% **EUR 1,638m**	EUR 10,647m EUR 14.40 / sh	EUR 12,285m EUR 17.50 / sh	EUR 13,923m EUR 20.60 / sh	EUR 15,561m EUR 23.70 / sh	EUR 17,199m EUR 26.80 / sh
Base **EUR 1,820m**	EUR 11,830m EUR 16.60 / sh	EUR 13,650m EUR 20.00 / sh	EUR 15,470m EUR 23.50 / sh	EUR 17,290m EUR 26.90 / sh	EUR 19,110m EUR 30.40 / sh
+10% **EUR 2,002m**	EUR 13,013m EUR 18.80 / sh	EUR 15,015m EUR 22.60 / sh	EUR 17,017m EUR 26.40 / sh	EUR 19,019m EUR 30.20 / sh	EUR 21,021m EUR 34.00 / sh
+20% **EUR 2,184m**	EUR 14,196m EUR 21.10 / sh	EUR 16,380m EUR 25.20 / sh	EUR 18,564m EUR 29.40 / sh	EUR 20,748m EUR 33.50 / sh	EUR 22,932m EUR 37.60 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	9,500	1,100	11.5%	7.5×	8,250	5,171	EUR 9.81	−55.9%
Base	10,200	1,601	15.7%	8.5×	13,609	10,530	EUR 19.97	−10.2%
Bull	11,000	1,950	17.7%	9.5×	18,525	15,446	EUR 29.29	+31.8%

KEY CONDITIONS

The scenarios differ primarily based on the commodity spread in Fibres and the realized wholesale price in Energy. Fibres causes the largest valuation swing due to its massive operational leverage; a EUR 30 per tonne swing in pulp spreads alters group EBITDA by nearly EUR 175 million annually. Downside depends on a "cycle trap" where global pulp capacity additions outpace demand. Upside requires tight global fiber markets, driving peak cycle margins at the exact moment Paso de los Toros is fully optimized.

THESIS BREAKER

Permanent structural impairment of Finnish wood costs due to loss of Russian timber, or EU regulatory block of the Sappi JV.

CATALYSTS

21 Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER

	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Sappi JV EU Merger Clearance	NEAR-TERM	Communication Papers	EU competition authority approval without major remedies	Crystallizes €1.1bn EV transaction
WISA Group Prospectus Publication	NEAR-TERM	Plywood	Disclosure of actual debt allocation to WISA Group	Allows precise equity valuation of demerger
Paso de los Toros Production Volumes	NEAR-TERM	Fibres	Quarterly operational run-rate approaching 2.1 million tonnes	Validates EV supporting capacity base
NBSK / BHKP Pulp Price Indices	NEAR-TERM	Fibres	Spreads tracking back toward EUR 122/tonne	Directly dictates cash generation

READ-THROUGH

The most critical near-term catalyst is the publication of the WISA Group demerger prospectus. While the Sappi JV clearance is important, the JV terms are already known. Conversely, the market currently lacks visibility on how much group debt will be allocated to the Plywood business upon separation. This catalyst is the most likely to be misunderstood; if UPM offloads a significant portion of debt onto WISA Group, it will mechanically increase the residual equity value of the remaining UPM operations. The easiest metric to observe continuously is the global pulp price index, which serves as a real-time proxy for Fibres segment profitability.

RISKS

Risk register

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Each risk's segment, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER

	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Finnish Wood Cost Inflation	Fibres	Structurally impairs margins at Kaukas, Kymi, and Pietarsaari mills.	Persistently high Baltic Sea region wood prices	HIGH	STRUCTURAL
Regulatory Block of Sappi JV	Communication Papers	Forces UPM to retain structurally declining assets on balance sheet.	Prolonged Phase II investigations by EU authorities	MEDIUM	THESIS BREAKER
Nordic Power Price Collapse	Energy	Directly reduces high-margin infrastructure cash flows.	Sustained collapse in European gas/power prices	MEDIUM	MANAGEABLE
Biofuel Regulatory Shifts	Other Operations	Strands capital deployed in Leuna and Rotterdam projects.	Revisions to EU renewable fuel mandates	LOW	MANAGEABLE

READ-THROUGH

The most thesis-breaking risk is structural wood cost inflation in Finland. If the loss of Russian timber imports permanently elevates Baltic Sea region wood costs, UPM's Nordic pulp mills (representing 2.4 million tonnes of capacity) could face permanent margin compression, shifting the Fibres valuation thesis from "cyclical trough" to "structural impairment." This risk is underappreciated relative to normal pulp price volatility, which is already partly priced in by the market. Additionally, the restructuring narrative carries operational and regulatory risks. If the EU blocks the Sappi JV due to market concentration concerns in graphic paper, UPM will be forced to internalize the restructuring costs and capacity closures, destroying the high-confidence EUR 1.1 billion transaction anchor.

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
Net Sales	**10,460**	**10,339**	**9,656**	*9,800*	*10,200*	*10,550*
EBITDA	**1,039**	**1,698**	**1,351**	*1,820*	*1,601*	*1,677*
EBITDA margin	9.9%	16.4%	14.0%	*18.6%*	*15.7%*	*15.9%*
Depreciation	-431	-1,094	-594	*-851*	*-560*	*-570*
Operating Profit (EBIT)	**608**	**604**	**757**	*969*	*1,041*	*1,107*
EBIT margin	5.8%	5.8%	7.8%	*9.9%*	*10.2%*	*10.5%*
Net financial items	-143	-104	-67	*-60*	*-55*	*-50*
Pre-tax Profit	**465**	**500**	**690**	*909*	*986*	*1,057*
Net Earnings	**395**	**463**	**491**	*682*	*740*	*793*
PER SHARE						
EPS	0.7	0.9	0.9	*1.3*	*1.4*	*1.5*
DPS	1.5	1.5	1.5	*1*	*1.1*	*1.2*
Payout ratio	202.5%	172.8%	161.5%	*80.0%*	*80.0%*	*80.0%*

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
ASSETS						
Tangible assets	9,166	7,933	9,842	*9,125*	*9,497*	*9,823*
Intangibles	715	580	554	*562*	*585*	*605*
Goodwill	283	174	264	*264*	*264*	*264*
Non-current assets	**13,483**	**13,535**	**12,925**	***12,216***	***12,611***	***12,957***
Inventories	1,949	2,070	1,886	*1,931*	*2,010*	*2,079*
Receivables	1,873	2,073	1,593	*1,621*	*1,684*	*1,739*
Cash & equivalents	632	892	715	*768*	*799*	*826*
Current assets	**4,454**	**5,035**	**4,194**	***4,320***	***4,493***	***4,644***
Total Assets	**18,473**	**19,096**	**17,532**	***16,948***	***17,517***	***18,014***
EQUITY & LIABILITIES						
Equity	11,531	11,540	10,334	*10,223*	*10,418*	*10,618*
Long-term debt	2,444	2,945	3,638	*1,747*	*1,900*	*2,019*
Short-term debt	200	37	156	*1,747*	*1,900*	*2,019*
Long-term liabilities	**3,179**	**3,656**	**4,268**	***2,377***	***2,530***	***2,649***
Current liabilities	**2,441**	**2,395**	**2,237**	***3,656***	***3,877***	***4,056***
Total liabilities & equity	**18,473**	**19,096**	**17,531**	***16,948***	***17,517***	***18,014***
CAPITAL STRUCTURE & RATIOS						
Net debt	2,718	2,922	3,079	*2,726*	*3,001*	*3,211*
Capital invested	13,543	13,630	13,413	*12,950*	*13,419*	*13,829*
Equity ratio	62.4%	60.4%	58.9%	*60.3%*	*59.5%*	*58.9%*
Gearing	23.6%	25.3%	29.8%	*26.7%*	*28.8%*	*30.2%*
Net debt / EBITDA	2.6×	1.7×	2.3×	*1.5×*	*1.9×*	*1.9×*
Current ratio	1.8	2.1	1.9	*1.2*	*1.2*	*1.2*

E = Valuatum estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
OPERATIONS						
CF from operations	1,488	1,353	1,473	*1,288*	*1,226*	*1,298*
Operating cash flow	1,660	1,411	1,652	*1,333*	*1,267*	*1,336*
Change in working capital	-605	204	-387	*245*	*74*	*65*
INVESTING & FREE CASH						
Gross capex	-576	1,146	-16	*142*	*955*	*916*
Capex (ex. M&A)	576	-1,146	16	*-142*	*-955*	*-916*
Free Operating Cash Flow	**2,291**	**241**	**1,587**	***1,191***	***312***	***420***
Free cash flow to firm	**2,292**	**241**	**1,588**	***1,191***	***312***	***420***
FINANCING						
CF from financing	-3,371	-14	-1,798	*-1,093*	*-239*	*-355*
Dividends paid	-693	-800	-800	*-793*	*-545*	*-592*
Net change in cash	**-1,307**	**193**	**-309**	***54***	***31***	***27***

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, EUR MILLIONS	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	2,640	2,546	2,521	2,632	2,646	2,400	2,298	2,312
EBITDA	490	349	438	559	350	248	251	177
EBITDA margin	18.6%	13.7%	17.4%	21.2%	13.2%	10.3%	10.9%	7.7%
Comparable EBIT	343	199	305	-105	198	107	125	2
EBIT margin	13.0%	7.8%	12.1%	-4.0%	7.5%	4.5%	5.4%	0.1%
Net Earnings	280	31	247	-95	143	71	18	258
EPS	0.5	0.1	0.5	-0.2	0.3	0.1	0	0.5

CURRENT YEAR — QUARTERLY, EUR MILLIONS	Q1/26	Q2/26 *E*	Q3/26 *E*	Q4/26 *E*
Net Sales	2,505	*2,350*	*2,514*	*2,431*
EBITDA	379	*286*	*910*	*245*
EBITDA margin	15.1%	*12.2%*	*36.2%*	*10.1%*
Comparable EBIT	252	*151*	*557*	*9*
EBIT margin	10.1%	*6.4%*	*22.2%*	*0.4%*
Net Earnings	200	*111*	*195*	*176*
EPS	0.4	*0.2*	*0.4*	*0.3*

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER

	VALUE	CATEGORY	USED IN
Current share price (EUR 22.23)	EUR 22.23	MARKET DATA	Cover Page, Recommendation
Historical EBIT and EBITDA	EUR 604m reported EBIT, EUR 1698m EBITDA (2024)	FINANCIAL SNAPSHOT	Appendix, Multiples
Forward multiples (2026/2027e)	8.5x - 9.3x EV/EBITDA	MODEL OUTPUT	Recommendation, Valuation Reality Check
Forecast 2027e EBITDA	EUR 1,601m	GENERATED ESTIMATE	Cross-Pool Bridge, Scenario Valuation
Peer median valuation	7.5x EV/EBITDA	CONSENSUS ESTIMATES	Investment Summary, Recommendation
Enterprise Value Segment Split	EUR 14.8bn (Total EV)	COMPANY VALUE MAP	Executive Economic Map, Value Breakdown

DISCLAIMER